A WORLD BANK GROUP FLAGSHIP REPORT

Global Economic Prospects

June 2025

Global growth is slowing due to a substantial rise in trade barriers and the pervasive effects of an uncertain global policy environment.



Source: World Bank, Global Economic Prospects, June 2025, p. 19 (Executive Summary)

EXECUTIVE SUMMARY

What the Report Says

2.3%

Global growth expected in 2025 — the slowest since 2008, aside from outright global recessions.

After a succession of adverse shocks, the global economy faces **another substantial headwind** — increased trade tension and heightened policy uncertainty. A tepid recovery in 2026–27 leaves output materially below January projections.

- For EMDEs, narrowing per capita income gaps, job creation, and extreme-poverty reduction **remain insufficient**.
- **Downside risks predominate:** escalation of trade barriers, persistent policy uncertainty, rising geopolitical tensions, and increased extreme climate events.
- FDI inflows into EMDEs have fallen to **less than half of their 2008 peak** and are likely to remain subdued.
- **Every EMDE region** faces a challenging outlook — 2025 growth was downgraded in every EMDE region versus January projections.

Source: Global Economic Prospects, June 2025, Executive Summary, pp. 19–20

STRATEGIC CONTEXT

Foreword Highlights — Indermit Gill

"Only six months ago, a 'soft landing' appeared to be in sight… That moment has passed.

The world economy today is once more running into turbulence."

— **Indermit Gill**, Senior Vice President & Chief Economist, World Bank

- Trade upheaval will slice nearly half a percentage point off expected global growth, cutting it to **2.3%** — weakest performance in **17 years** outside outright recessions; the 2020s to average just **2.5%**, slowest decade since the 1960s.
- Developing economies hit hardest: by 2027, per capita GDP **6% lower** than expected; except China, about **two decades** to recoup 2020s losses.
- "Grim predicament": developing-economy growth down three decades in a row — **5.9%** (2000s) → **5.1%** (2010s) → **3.7%** (2020s); global trade growth **5.1%** → **4.6%** → **2.6%**.
- "The global economy today is at an inflection point… With decisive action, governments across the world can still regain the momentum of poverty reduction."

THREE PRIORITIES

1 **Rebuild trade relations**

2 **Restore fiscal order**

3 **Accelerate job creation**

Source: Global Economic Prospects, June 2025, Foreword by Indermit Gill, pp. 17–18

CHAPTER 1

Global Outlook

"The global outlook is predicated on tariff rates close to those of late May prevailing throughout the forecast horizon."



WORLD BANK GROUP

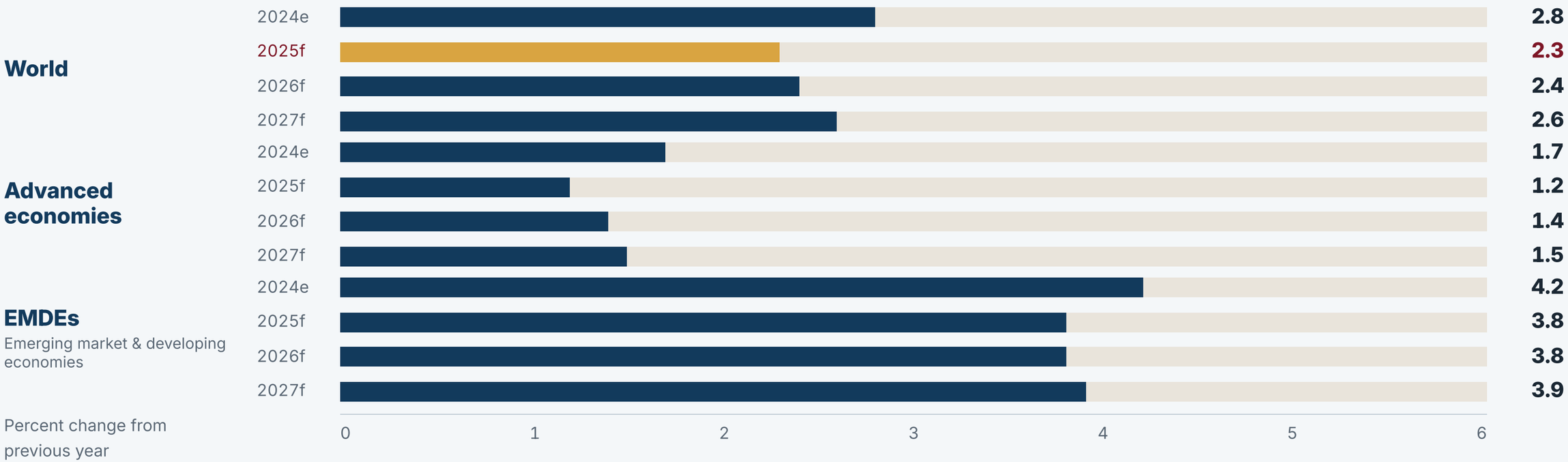
Source: Global Economic Prospects, June 2025, p. 23

Global growth slows to 2.3 percent in 2025

2.3%
World real GDP growth, 2025f

Real GDP growth, percent change from previous year · World 2025f (headline)

e = estimate · f = forecast



Downgraded from January 2025: World 2025f cut by −0.4 pp; 2026f cut by −0.3 pp.

Slowest rate of global growth since 2008, aside from outright global recessions.

Plotted from Table 1.1, p. 26 — percent change from previous year; e = estimate, f = forecast. Common 0–6% scale across all aggregates.

Source: Global Economic Prospects, June 2025, Table 1.1, p. 26; Executive Summary, p. 19

Trade Barriers & Policy Uncertainty are slowing growth

BASELINE ASSUMPTION

"The global outlook is predicated on tariff rates close to those of late May prevailing throughout the forecast horizon… This baseline nonetheless entails **the highest U.S. average effective tariff rate in nearly a century**."

Chapter 1, p. 27

- Trade upheaval slices **nearly half a percentage point** off expected global growth, cutting it to **2.3 percent** (Foreword, p. 17).
- The slowdown is concentrated on **investment**, including foreign direct investment and portfolio flows (p. 27).
- **EAP:** 10% across-the-board tariff assumed, except China at **30%** plus sector-specific levies (p. 75).
- **LAC:** Mexico faces a **25%** U.S. tariff on non-USMCA-compliant imports; 80% of its exports went to the U.S. in 2024, about half non-compliant; other LAC countries face a 10% increase; energy and copper excluded (p. 91).
- **Upside:** agreements halving tariffs vs late-May 2025 levels could strengthen global growth by **about 0.2 pp** on average over 2025–26 (Foreword, p. 17).

CONCEPTUAL — TRANSMISSION CHANNEL



Source: Global Economic Prospects, June 2025, pp. 17, 27, 75, 91

Inflation & Financial Conditions

INFLATION

2.9%

GDP-weighted global inflation, projected average for 2025 and 2026

> "GDP-weighted global inflation is projected to average **2.9 percent** in 2025 and 2026—still a little above the average inflation target—but with notable heterogeneity across economies."

Easing to **2.5 percent** in 2027 — about in line with the average inflation target (Figure 1.5, p. 33).

FINANCIAL CONDITIONS

> "Global financial conditions have been **tighter this year**, on average, relative to late 2024, principally reflecting trade policy uncertainty."

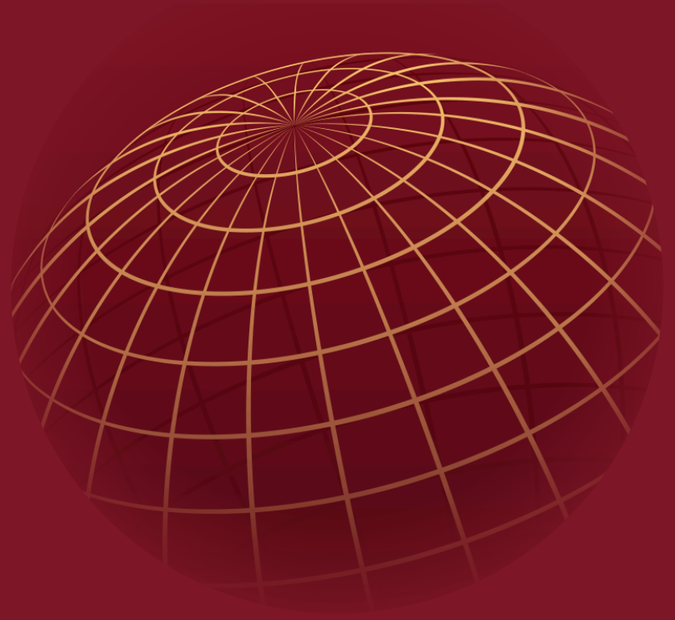
- Volatility in financial markets **spiked** as trade tensions escalated in early April
- Equity markets plunged globally during the same episode
- Tightness driven principally by **trade policy uncertainty**
- Asset prices **largely recovered** after the initial 90-day tariff pause and the U.S.–China tariff rollback in May (p. 27)

Source: Global Economic Prospects, June 2025, Chapter 1, pp. 27, 33

CHAPTER 2

Regional Outlooks

“All EMDE regions face a challenging outlook amid the rise in trade tensions and heightened global uncertainty.”



Source: Global Economic Prospects, June 2025, p. 19

REGIONAL OUTLOOKS

Every EMDE region downgraded for 2025

Real GDP growth, 2025 forecast — all six regions cut from the January 2025 projection

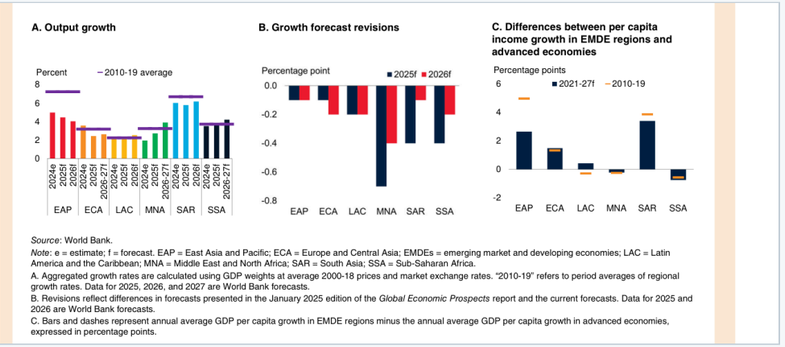
REGION	2025F GROWTH	%	Δ VS JAN 2025
South Asia		5.8	−0.4
East Asia and Pacific		4.5	−0.1
Sub-Saharan Africa		3.7	−0.4
Middle East and North Africa		2.7	−0.7
Europe and Central Asia		2.4	−0.1
Latin America and the Caribbean		2.3	−0.2

0 1 2 3 4 5 6%

Plotted from Table 1.1, p. 26 — 2025 forecast, percent change from previous year. Bars share the 0–6% scale of the global outlook chart. Δ = change in the 2025 forecast vs January 2025 (percentage points).

MNA: largest downgrade, steepest recovery

Cut by **−0.7** pp from January — the most of any region — yet growth rebounds from 1.9% in 2024 to 4.1% in 2027, the steepest recovery path in Table 1.1.



Source: World Bank.
Note: e = estimate; f = forecast. EAP = East Asia and Pacific; ECA = Europe and Central Asia; EMDEs = emerging market and developing economies; LAC = Latin America and the Caribbean; MNA = Middle East and North Africa; SAR = South Asia; SSA = Sub-Saharan Africa.
A. Aggregated growth rates are calculated using GDP weights at average 2000-18 prices and market exchange rates. "2010-19" refers to period averages of regional growth rates. Data for 2025, 2026, and 2027 are World Bank forecasts.
B. Revisions reflect differences in forecasts presented in the January 2025 edition of the *Global Economic Prospects* report and the current forecasts. Data for 2025 and 2026 are World Bank forecasts.
C. Bars and dashes represent annual average GDP per capita growth in EMDE regions minus the annual average GDP per capita growth in advanced economies, expressed in percentage points.

Figure B1.1.1, p. 42 — Regional outlooks: output growth, forecast revisions, and per capita income growth differences.

Source: Global Economic Prospects, June 2025, Table 1.1, p. 26; Figure B1.1.1, p. 42

East Asia & Pacific — China's Trajectory

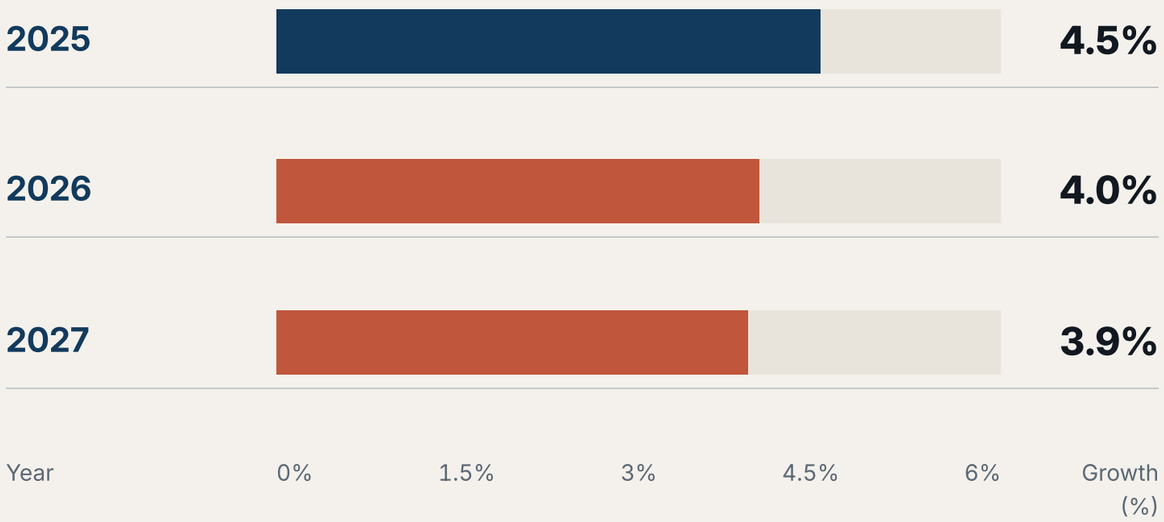
4.5%

EAP growth projected in 2025, down from 5% in 2024

Direct effects of higher trade barriers; indirect effects of policy uncertainty, weaker global growth, softer confidence.

China: real GDP growth, 2025–2027

2025 in line with January forecast; 2026–27 track decelerating potential output.



WHAT'S DRIVING THE SLOWDOWN

- **China 2025: 4.5%** — in line with the January forecast; U.S. tariffs and slower advanced-economy growth offset by announced fiscal support. (p. 76)
- **China 2026–27: 4.0% → 3.9%** — decelerating potential output: slowing productivity, aging population, high debt. (p. 76)
- **EAP excluding China** slows to 4.2% in 2025. (p. 77)
- **China's consolidated fiscal deficit** rises to 8.1% of GDP in 2025 from 6.5% in 2024. (p. 77)
- **Tariff assumption:** late-May rates persist — 10% across-the-board for EAP except China (30% plus sector-specific levies). (p. 75)
- **Broad-based slowdown:** 78% of EAP economies affected in 2025. (Box 1.1, p. 41)

Source: Global Economic Prospects, June 2025, pp. 41, 75–77. Chart plotted from p. 76 (China growth forecasts).

REGIONAL OUTLOOKS

South Asia & Latin America

Fastest and slowest of the six EMDE regions — both held back by trade barriers

SOUTH ASIA (SAR)

Fastest-growing EMDE region

5.8% 2025 growth

Then averaging 6.2% in 2026–27 — still below the pre-pandemic average

- Growth moderates in 2025, limiting the scope to spur a rapid expansion in jobs
- Risks tilted to the downside: intensified trade barriers, heightened policy uncertainty, tightening financial conditions
- Also exposed to financial-sector instability, violence and social unrest, declines in official aid, and extreme weather

LATIN AMERICA & THE CARIBBEAN (LAC)

Lowest aggregate growth of EMDE regions over 2025–27, followed by ECA

2.3% 2025 growth

Steady in 2025, then firming to 2.5% on average in 2026–27

- Mexico most directly affected by trade barriers; domestic demand resilient but exports weakening
- Commodity-price softening weighs moderately on growth

Source: Global Economic Prospects, June 2025, pp. 41 (Box 1.1), 91, 107

ECA, MNA & SSA: Conflict, Oil and Fiscal Space Shape Growth

Europe & Central Asia (ECA)

2.4%

Growth projected for 2025 — a slowdown

- Deceleration reflects a stepdown in activity in the Russian Federation due to monetary tightening.
- Downside risk: a prolonged or intensified Russia–Ukraine war.

Middle East & North Africa (MNA)

2.7%

Growth projected for 2025 — strengthening

- Expansion of oil activity in oil exporters more than offsets weakening external demand and lower oil prices.
- Growth to average 3.9% in 2026–27.

Sub-Saharan Africa (SSA)

3.7%

Growth forecast for 2025, up from 3.5% in 2024

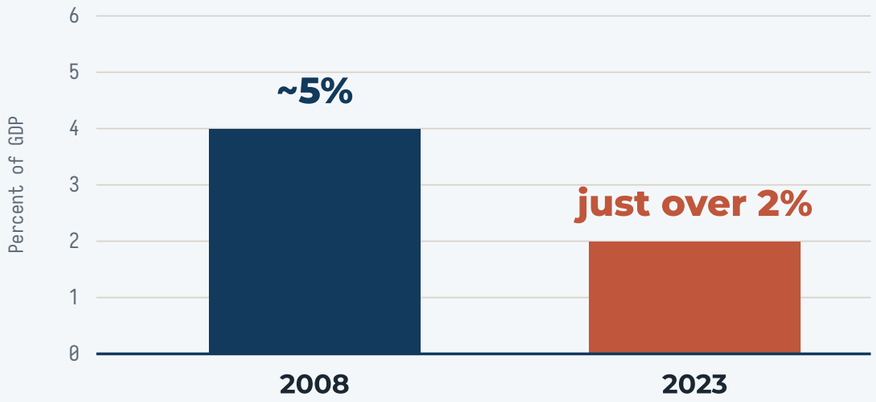
- Elevated government debt, still-high interest rates and rising debt-servicing costs have narrowed fiscal space.
- Per capita income gains are inadequate for significant extreme-poverty reduction; SSA is home to most of the world's poor.

Source: Global Economic Prospects, June 2025, pp. 83, 99, 115

FDI Deep Dive — Inflows in Retreat

Median EMDE: FDI inflows as a share of GDP

Percent of GDP, median emerging market and developing economy



Plotted from Figure 3.2, p. 132 — FDI-to-GDP ratio, median EMDE, percent. Less than half the 2008 peak.

- Net FDI inflows to EMDEs grew **almost fivefold 2000–2008** — from a little over $160 billion to almost $800 billion — but have not kept pace with GDP growth since.
- Global: FDI as a share of global GDP fell from **over 5% in 2007 to below 1% in 2023–24** — lowest since the turn of the century.
- Decline is broad-based: in **three-fifths of EMDEs** the average FDI-to-GDP ratio was lower in 2012–23 than in 2000–11.

The report's answer

A three-pronged strategy for developing economies

1 Attract FDI

Draw foreign direct investment back to developing economies.

2 Amplify the benefits of FDI

Ensure the investment that arrives delivers wider economic gains.

3 Advance global cooperation

Cooperate internationally on the rules governing capital flows.

WHY INFLOWS HAVE FALLEN

Weak macro conditions, higher debt and sovereign risk, geopolitical tensions, stalled structural reforms, friendshoring / nearshoring / reshoring, and rising FDI screening.

Source: Global Economic Prospects, June 2025, Chapter 3, pp. 130–132, 155 (Figures 3.1, 3.2)

Fragility & Conflict — Intertwined Crises

20%

Cumulative **per capita GDP loss** five years after the onset of a high-intensity conflict

Across a broader set of conflicts, the loss is about 9 percent over the same period.

50%

of the global poor live in FCS — up 10 pp since 2020

1.1B

people live in FCS, which hold nearly half of the world's extreme poor

- FCS output contracted **almost 6% in 2020**, versus less than 2% in other EMDEs.
- By end-2024, FCS cumulative output loss was **almost 13%** versus pre-pandemic projections — about three times other EMDEs.
- FCS's share of the global poor is projected to rise a **further 6 pp by 2030**.
- FCS account for nearly half of the global population in extreme poverty, **up from about 40% in 2019**.

Source: Global Economic Prospects, June 2025, pp. 52, 184, 194 (Figures 1.10.F, 4.3.D, 4.10)

RISKS & POLICIES

Risks to the Outlook

Downside risks dominate

- Persistently elevated policy uncertainty; escalation of trade tensions; disorderly asset price corrections and financial stress
- Weaker-than-expected growth in major economies — a 1 pp decrease in U.S. growth would lower EMDE-ex-China output by ~3% after 2 years
- Increased conflict and geopolitical stress; increasing frequency and severity of natural disasters

MODELED SCENARIO · TARIFFS +10 PP WITH RETALIATION

–0.5 pp 2025 **–0.4 pp** 2026

Effect on global growth vs baseline (Figure 1.12.F, p. 59)

Upside risks

- Dissipating trade policy uncertainty and reduced trade tensions
- Fiscal expansion in major economies
- Technology-led investment growth and productivity gains — explicitly contingent, not a near-term driver

MODELED SCENARIO · AGREEMENTS HALVING TARIFFS

+0.1 pp 2025 **+0.3 pp** 2026

Effect on global growth vs baseline (Figure 1.12.F, p. 59); Foreword: ~+0.2 pp on average over 2025–26 (p. 18)

Source: Global Economic Prospects, June 2025, pp. 18–19, 53–59

POLICY CHALLENGES

What the Report Proposes

1

Rebuild trade relations

Lower tariffs with all partners; convert preferential agreements into deep trade agreements; restore a rules-based system through the WTO.

Resolving disputes with agreements halving tariffs vs late-May 2025 levels could lift global growth by **~0.2 pp** on average over 2025–26.

2

Restore fiscal order

Cut deficits, raise revenue, and reduce debt distress across developing economies.

Deficits in developing economies averaged **nearly 6% of GDP** in the 2020s — highest this century; interest costs ~a third of deficits; more than half of low-income countries in debt distress or at high risk; revenue mobilization ~25% of GDP vs ~40% in wealthiest economies.

3

Accelerate job creation

Create jobs fast enough to absorb a rapidly growing working-age population.

SSA working-age population to almost double by 2050 (**+600 million**); South Asia +~300 million; MNA +100 million.

FDI STRATEGY Three-pronged approach: **attract FDI**, **amplify the benefits of FDI**, and **advance global cooperation**.

"The global economy today is at an inflection point… With decisive action, governments across the world can still regain the momentum of poverty reduction—and deliver rising living standards for the next generation."

— Indermit Gill, Senior Vice President and Chief Economist, Foreword (p. 18)

Source: Global Economic Prospects, June 2025, Foreword pp. 17–18; Chapter 3, p. 130 (three-pronged strategy, also p. 155)

KEY TAKEAWAYS

What the Report Says

Global Economic Prospects

1. Global growth slows to **2.3%** in 2025 — the weakest since 2008 outside recessions; the tepid 2026–27 recovery leaves output below January projections.

2. Every EMDE region was downgraded for 2025; South Asia is fastest at **5.8%**, Latin America & the Caribbean lowest at **2.3%**.

3. FDI inflows to EMDEs have fallen to **less than half** their 2008 peak.

4. Conflict costs run deep: about **20%** cumulative per capita GDP loss five years after high-intensity conflicts; nearly half the world's poor live in fragile and conflict-affected states.

5. Downside risks predominate; lasting trade agreements would be worth about **0.2 pp** of growth.

6. The report's answer: **rebuild trade relations, restore fiscal order, accelerate job creation.**

WORLD BANK GROUP

Source: Global Economic Prospects, June 2025, pp. 17–19, 26, 52, 194

References & Source Notes

SOURCE

World Bank. 2025. Global Economic Prospects, June 2025. Washington, DC: World Bank. doi: 10.1596/978-1-4648-2193-6.

Data cutoff: June 3, 2025 (p. 6)

HOW TO READ THE PAGE REFERENCES IN THIS DECK

All page references are one-based attachment PDF page numbers. For numbered body pages: printed report page = PDF page − 22.

Foreword	**pp. 17–18**
Chapter 1	**p. 23**
Box 1.1	**p. 41**
FCS poverty	**p. 52**
Europe & Central Asia	**p. 83**
Middle East & North Africa	**p. 99**
Sub-Saharan Africa	**p. 115**
Fragile & conflict-affected	**pp. 184, 194**
Executive Summary	**pp. 19–20**
Table 1.1	**p. 26**
Figure B1.1.1	**p. 42**
East Asia & Pacific	**pp. 75–77**
Latin America & Caribbean	**p. 91**
South Asia	**p. 107**
FDI	**pp. 130–132, 155**